

OPTIONAL FINAL EXAM

To qualify for the HP grade in the course, you need to answer the following questions on the “Seven Eleven Japan” case study.

1. What measures and quantitative figures will you use to illustrate the magnitude of the Seven Eleven Japan success? How much of that success is dependent on the fit of their model with the Japanese lifestyle? Why do you think so? Explain.
2. How would you characterize the businesses strategy at Seven Eleven? What level of responsiveness are they aiming to achieve? What risk does a retailer aiming for this level of responsiveness face?
3. Analyze in detail the following decisions in support of the business strategy:
 - Information technology and information management
 - Facilities Location Strategy
4. Analyze in detail the following decision in support of the business strategy:
 - Supplier management
 - Inventory management
 - Transportation logistics
5. How complementary and aligned are the decisions that Seven Eleven makes in support of its strategy? Explain why.
6. What factors allow them to operate at that level on inventory turns (turning it over almost once a week) in a complex convenience store business? What similarities do you detect between ZARA and Seven Eleven Japan in the success of their responsive supply chain strategies?
7. List three key features of 7Dream.Com’s e-business operations. Assess the risks and benefits of the proposed e-business model. What do you see as the potential weaknesses, risks, and bottlenecks of this model? What suggestions for improvement would you offer to Seven Eleven Japan?
8. The following is a short description of Seven Eleven in the United States (excerpt from Kellogg’s Seven-Eleven Japan case, by Sunil Chopra).

Seven-Eleven has expanded rapidly around the world. The major growth has been in Asia, though the United States continues to be the second-

largest market for Seven Eleven. Once Seven Eleven Japan acquired Southland Corporation, it set about improving operations in the United States. In the initial years, several Seven Eleven stores in the United States were shut down. The number of stores started to grow beginning in 1998. Historically, the distribution structure in the United States was completely different from that of Japan. Stores in the United States were replenished using direct-to-store delivery (DSD) by some manufacturers, which accounted for about half the total volume. The remaining products were delivered by wholesalers.

With the goal of introducing “fresh” products, Seven Eleven introduced the concept of combined distribution centers (CDC) around 2000. By 2003, Seven Eleven had 23 CDCs located throughout North America supporting about 80 percent of the store network. CDCs delivered fresh items such as sandwiches, bakery products, bread, produce, and other perishables once a day. A variety of fresh-food suppliers sent products to the CDC throughout the day where they were sorted for delivery to stores at night. Fresh-food sales in North America exceeded \$450 million in 2003. During this period, DSD by manufacturers and wholesaler delivery to stores also continued.

In 2003, revenue in the United States and Canada totaled \$10.9 billion with about 69 percent coming from merchandise and the rest from the sale of gasoline. The North American inventory turnover rate in 2003 was about 17 compared to over 50 in Japan. This performance, however, represented a significant improvement in North American performance.

Seven Eleven is attempting to duplicate their successful Japanese supply chain structure in the United States with the introduction of CDCs. What are the pros and cons of this approach? Keep in mind that stores are also replenished by wholesalers and DSD by some manufacturers. What are the pros and cons to having a distributor replenish convenience stores versus a company like Seven Eleven managing its own distribution functions?

9. What are the differences in the Seven Eleven Japan and Inditex (ZARA) strategies? Especially, comment on the decentralized versus vertical integration nature of their strategies. What are the Return on Assets of these firms (or what you expect them to be)?

10. What are the critical assets that Seven Eleven Japan own? What are the critical assets that Inditex/ ZARA own? What is the role of product innovation and collaboration with other partners in the supply chain for the two firms?